

Cambridge International AS & A Level

ECONOMICS

Paper 2 AS Level Data Response and Essays

MARK SCHEME

Maximum Mark: 60

This mark scheme follows the same structure, Generic Marking Principles, and level-based assessment criteria (Table A: AO1+AO2 and Table B: AO3) as the published Cambridge AS & A Level Economics Paper 2 mark scheme. It should be used in conjunction with the corresponding practice question paper.

Generic Marking Principles (summary)

1. Marks are awarded in line with the specific content of the mark scheme.
2. Marks are always whole marks.
3. Marks are awarded positively for valid answers; not deducted for errors.
4. Rules are applied consistently.
5. The full range of marks should be used where appropriate.
6. Marks are based solely on the mark scheme, not grade thresholds.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table to give marks for AO1 + AO2 for Questions 2(b), 3(b), 4(b) and 5(b).

Level	Description	Marks
3	• Detailed knowledge and understanding of relevant economic concepts with explanations and examples. • Clearly addresses the question; develops explanations fully. • Developed, detailed analysis using accurate concepts/theories; diagrams/formulae fully explained. • Well-organised, focused, logical and coherent.	6–8
2	• Some relevant economic concepts; explanations limited, over-generalised or partially inaccurate. • Addresses the general theme; limited development. • Generally accurate analysis with some development; tools partially explained. • Generally logical, occasionally lacking focus.	3–5
1	• A small number of relevant points; limited by errors/omissions. • Little relevance to the question. • Analysis where present is largely descriptive; diagrams may contain errors or be omitted. • Limited organisation.	1–2
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table to award marks for AO3 Evaluation for Questions 2(b), 3(b), 4(b) and 5(b).

Level	Description	Marks
2	• Provides a justified conclusion/judgement addressing the specific requirements of the question. • Makes developed, reasoned and well-supported evaluative comment(s).	3–4
1	• Provides a vague or general conclusion/judgement. • Makes simple evaluative comment(s) with no development and little supporting evidence.	1–2
0	No creditable response.	0

Section A

Follow the point-based marking guidance at the top of this mark scheme.

Question	Answer	Marks
1(a)(i)	Identify one possible reason for the value of the short-run PED for lithium. • PED = -0.2 is inelastic. A reason may be: lithium is essential for EV batteries and electronics with no close substitutes in the short run; battery technology is locked into lithium-based chemistry; demand is derived from EV production schedules (1). • Award 1 mark for recognition that demand is inelastic plus a valid reason.	1
Question	Answer	Marks
1(a)(ii)	Calculate the percentage change in average lithium prices between 2019 and 2023. • $((67\,000 - 13\,000) / 13\,000) \times 100 = 415.4\%$ (also accept 415%, 415.38%). • Award 1 mark for the correct figure (with or without sign). Award 0 marks if shown negative or computed incorrectly.	1
Question	Answer	Marks
1(b)	With the help of a demand and supply diagram, explain why lithium prices fell sharply in 2025. • Accurate demand and supply diagram (1) showing supply shifting to the right (new capacity in Argentina/Africa/China) by more than the rightward shift in demand (slower EV growth), causing the equilibrium price to fall (1). • A diagram with appropriate annotation alone is sufficient for both marks.	2
Question	Answer	Marks
1(c)	Consider whether an export tax on lithium would be likely to increase tax revenue in Chile. • An export tax raises the effective price of lithium exports, reducing quantity exported (1). • Whether tax revenue rises depends on the value of PED for lithium exports: PED = -0.2 (inelastic) implies revenue is likely to rise because quantity falls by proportionately less than the price increase (1). At a global level, however, Chile faces competing suppliers, so the effective PED facing Chile may be more elastic (1). Reserve 1 mark for valid evaluation, e.g.: • Buyers may switch to lithium from Australia/Argentina; long-run elasticity is greater than short-run elasticity; an export tax may invite WTO challenges or reduce investment, reducing future revenue (1).	4

Question	Answer	Marks
1(d)	Assess the extent to which partial nationalisation of the lithium industry would be the best way to stabilise government revenues in Chile. Up to 3 marks for analysis in favour, e.g.: • The state captures a larger share of economic rent when prices are high, boosting government revenue. • A state stake gives direct control over the pace and direction of investment, supporting longer-term planning. • Revenues can be channelled into a sovereign wealth fund or counter-cyclical spending, smoothing volatility. Up to 3 marks for analysis against, e.g.: • State ownership may reduce efficiency and increase costs; political interference risk. • May deter foreign direct investment and slow technological innovation in extraction/processing. • Government revenue still depends on volatile global prices; partial nationalisation does not eliminate this exposure. • Alternative policies — sovereign wealth fund, royalty/severance taxes, diversification, hedging — may be more effective. Comparison with at least one alternative can score full marks. Note: 4 marks maximum for analysis. Evaluation: assesses both sides (1); justified conclusion on whether nationalisation is the <i>best</i> way (1).	6

Question	Answer	Marks
1(e)	Assess the advantages and disadvantages of Chile continuing to specialise in lithium production and export. Up to 3 marks for advantages, e.g.: • Comparative advantage from the Atacama brine reserves – lowest extraction cost globally. • Economies of scale; export revenue funds imports and development. • Skill formation, infrastructure investment, and clusters of related industries. Up to 3 marks for disadvantages, e.g.: • Vulnerability to commodity price volatility (the 2023–2025 swing demonstrates this). • Lithium is a finite, non-renewable resource — long-run depletion risk. • Environmental damage (water-intensive extraction in the Atacama desert) raises sustainability concerns. • "Dutch disease" — currency appreciation can damage non-resource exports. • Substitute battery technologies (sodium-ion, solid-state) may erode future demand. Note: 4 marks maximum for analysis. Evaluation: assesses both sides (1); justified conclusion (1).	6

Section B

Question	Answer	Marks
2(a)	With the help of a diagram, explain the difference between PED and YED and consider whether goods with a positive YED are always normal goods. AO1 (max 3 marks): • Accurately labelled demand diagram(s) (1). • PED formula and definition: responsiveness of quantity demanded to a change in the good's own price (1). • YED formula and definition: responsiveness of quantity demanded to a change in consumer income (1). AO2 (max 3 marks): • Application of YED to classify goods: positive YED indicates a normal good (1); YED between 0 and 1 indicates a necessity; YED > 1 indicates a luxury (1); negative YED indicates an inferior good (1). AO3 (max 2 marks): • Goods with positive YED are normal but their classification (necessity vs luxury) varies with income level and consumer (1); reasoned conclusion (1).	8

Question	Answer	Marks
2(b)	Assess the view that information failure is the most significant cause of market failure. Use Table A and Table B. Indicative content: • Definition of market failure and information failure (asymmetric information, imperfect information, moral hazard, adverse selection). • How information failure causes over-/under-consumption of demerit/merit goods, e.g. tobacco, healthcare, insurance. • Other causes of market failure: externalities (positive/negative), public goods (free rider, non-rivalry/excludability), monopoly power, inequity, factor immobility. • Significance depends on the market and the size of welfare loss; in some markets externalities are larger drivers than information failure. Levels: as per Table A. AO3: a balanced judgement comparing information failure with at least one other cause, with a reasoned conclusion. One-sided responses earn no AO3 marks.	12

Question	Answer	Marks
3(a)	With the help of a diagram, explain the difference between an outward shift and an inward shift of the PPC and consider whether economic growth always requires more resources. AO1 (max 3 marks): • Accurately drawn PPC showing two named goods (not X and Y) (1). • Outward shift: increase in productive capacity from more resources or better technology (1). • Inward shift: decrease in productive capacity from resource loss, war, natural disaster or technological regression (1). AO2 (max 3 marks): • Economic growth represented by outward shift in PPC (1). • Growth can occur without more resources via productivity gains, technology, better human capital, improved organisation (1). • However, in the long run, the quantity of resources also matters for sustained growth (1). AO3 (max 2 marks): • Evaluation that growth depends on both quantity and quality of factors of production (1); justified conclusion (1).	8

Question	Answer	Marks
3(b)	Assess the extent to which the price mechanism is the best way to allocate scarce resources in an economy. Use Table A and Table B. Indicative content: • Price mechanism functions: signalling, incentive, rationing. Allows decentralised efficient allocation in competitive markets. • Strengths: consumer sovereignty, dynamic efficiency, no central planner needed, responds quickly to changing preferences. • Weaknesses: market failures (externalities, public goods, monopoly, info failure), inequity, instability, short-termism. • Comparison with alternatives — command economy (planning), mixed economy (price mechanism plus government intervention). • Most economies use a mixed approach; the question is the appropriate balance. AO3: reasoned comparison and conclusion. One-sided responses earn no AO3 marks.	12

Section C

Question	Answer	Marks
4(a)	Explain three components of the financial account and consider whether a current account surplus is always desirable. AO1 (max 3 marks): three components named and briefly explained (3 × 1): • Foreign direct investment (FDI) – inflows/outflows for ownership and control of foreign productive assets. • Portfolio investment – cross-border purchases of equities and debt securities for financial return only. • Other investment – cross-border loans, bank deposits, trade credit. • Also accept: reserve assets (central bank gold and foreign exchange reserves), financial derivatives. AO2 (max 3 marks): • A current account surplus indicates net foreign earnings; supports growth, employment, foreign exchange reserves (1). • However, a persistent surplus may reflect under-consumption at home, currency manipulation, or trade tensions with partners (1). • A surplus must be offset by a financial account deficit (capital outflows) – this may signal weak domestic investment opportunities (1). AO3 (max 2 marks): • Desirability depends on cause and context (1); reasoned conclusion (1).	8

Question	Answer	Marks
4(b)	Assess whether contractionary fiscal policy is the best way to reduce demand-pull inflation. Use Table A and Table B. Indicative content: • Contractionary fiscal policy: higher taxes and/or lower government spending shift AD left, easing demand-pull inflation. • Strengths: targeted, predictable revenue effects, can address specific sectors (e.g. raising income tax to cool consumption). • Weaknesses: implementation lags, political resistance, may cause unemployment and slow growth; risks pro-cyclical effects. • Alternatives — contractionary monetary policy (higher interest rates), supply-side policies (longer-term), exchange rate appreciation (raise import prices), price controls (rarely effective). • Effectiveness depends on the cause of inflation (demand- vs cost-push), output gap, fiscal multiplier and confidence. Guidance: answers must link to demand-pull inflation specifically; otherwise capped at mid-Level 2. AO3: balanced comparison and justified conclusion.	12

Question	Answer	Marks
5(a)	With the help of an AD/AS diagram, explain two causes of demand-pull inflation and consider whether all types of inflation are damaging. AO1 (max 3 marks): • Accurately labelled AD/AS diagram with axes price level and real GDP, showing AD shifting right and price level rising (1). • Two causes named and briefly explained from: rising consumer confidence/consumption, increased investment, expansionary fiscal/monetary policy, rising net exports, depreciation (2). AO2 (max 3 marks): • Demand-pull inflation can cause loss of purchasing power, menu costs, fiscal drag, redistribution effects (1). • Moderate, predictable inflation (around 2%) is associated with healthy growing economies and can encourage spending (1). • Deflation can be more damaging than mild inflation (1). AO3 (max 2 marks): • Whether inflation is always damaging depends on rate, type and anchoring of expectations (1); reasoned conclusion (1).	8

Question	Answer	Marks
5(b)	Assess the view that economic growth is a more important macroeconomic objective than price stability for a developing economy. Use Table A and Table B. Indicative content: • Importance of growth in developing economies: raises living standards, reduces poverty, generates employment, expands tax base for public services. • Importance of price stability: protects purchasing power, encourages saving and investment, attracts foreign capital, prevents currency crises. • Trade-offs: rapid growth can be inflationary; tight monetary policy to control inflation can stall growth. • Other objectives (employment, balance of payments, equity, sustainability) and how they interact with growth and inflation. • Developing-economy context: structural weaknesses, exchange rate exposure, vulnerability to imported inflation. AO3: balanced comparison and justified conclusion.	12